

7-2d The International Monetary Fund (IMF)

Although the Bretton Woods system is no longer with us, one of its most enduring legacies is the

International Monetary Fund (IMF) (An international organization that was established to promote international monetary cooperation, exchange stability, and orderly exchange arrangements.)

, founded in 1944 as a “Bretton Woods institution.” (The World Bank is the other Bretton Woods institution.) The IMF’s mandate is to promote international monetary cooperation, exchange stability, and orderly exchange arrangements.

Lending is a core responsibility of the IMF, which provides loans to countries suffering from balance-of-payments problems. The IMF can be viewed as a lender of last resort to help member countries out of financial difficulty. Where does the IMF get its funds? The answer boils down to the same principle on how insurance companies obtain their funds to pay for insurance coverage. For the same reason that insurance companies obtain their funds from insurance subscribers who pay a premium, the IMF collects funds from member countries. Each member country is assigned a

quota (The weight a member country carries within the IMF, which determines the amount of its financial contribution (technically known as its “subscription”), its capacity to borrow from the IMF, and its voting power.)

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By definition, the IMF’s lending refers to loans, not free grants. IMF loans must be repaid in one to five years. Although payments have been extended in some cases, no member country has defaulted. An ideal IMF loan scenario would be a balance-of-payments crisis that threatens to severely disrupt a country’s financial stability, such as when it imports more than it exports and cannot pay for imports.

While an IMF loan provides short-term financial resources, it also comes with strings attached. These strings are long-term policy reforms that recipient countries must undertake as conditions of receiving the loan. These conditions usually entail belt-tightening, pushing governments to embark on reforms that they otherwise probably would not have undertaken. For instance, when the IMF (together with the [European Union (EU)]) provided a loan to Greece in 2010, the Greek government had to agree to cut wages and pensions by 15% to 20% in order to pay for government debt. Since the 1990s, the IMF has helped Mexico (1994), Russia (1996 and 1998), Asia (Indonesia, South Korea, and Thailand, 1997), Turkey (2001), Brazil (2002), Iceland (2008), Ukraine (2008), Hungary (2008), Greece (2010), and several others.

While the IMF has noble goals, its actions are not without criticisms. A new alternative international organization, which is simply called the New Development Bank (NDB), has recently been set up by the BRICS countries (see [In Focus 7.2](#)).

In Focus 7.2

International Monetary Fund versus New Development Bank

The complexity of the IMF's actions means that it cannot please everyone. Debates about the IMF rage throughout the world. First, critics argue that the IMF's lending may *facilitate* moral hazard, which means recklessness when people and organizations (including governments) do not have to face the full consequences of their actions. Moral hazard is inherent in all insurance arrangements, including the IMF. Basically, knowing that the IMF would come to the rescue, certain governments may behave more recklessly. For example, between 1958 and 2001, Turkey was rescued by 18 (!) IMF loans.

A second criticism centers on the IMF's lack of accountability. Although the IMF can dictate terms over a host country that is being rescued and receiving loans, none of the IMF officials is democratically elected and most of them do not have deep knowledge of the host country. Consequently, they sometimes make disastrous decisions. For example, in 1997–1998, the IMF forced the Indonesian government to drastically cut back on food subsidies for the poor. Riots exploded the next day. Hundreds of people were killed and property damaged. Then, the IMF reversed its position by restoring food subsidies. However, in some quarters, the bitterness was all the greater. A lot of protesters argued: If food subsidies could have been continued, why were they taken away in the first place?

A third and perhaps most challenging criticism is that the IMF's "one-size-fits-all" strategy—otherwise known as the "bitter medicine"—may be inappropriate. Since the 1930s, in order to maintain more employment, most Western governments have abandoned the idea to balance the budget. Deficit spending has been used as a major policy weapon to pull a country out of an economic crisis. Yet, the IMF often demands governments in more vulnerable developing countries, in the midst of a major crisis, to balance their budgets by slashing spending (such as cutting food subsidies). These actions often make the crisis far worse than it needs to be. After the IMF came to "rescue" countries affected by the 1997 Asian financial crisis, unemployment rate was up threefold in Thailand, fourfold in South Korea, and tenfold in Indonesia.

However, the momentum of the criticisms, the severity of the global crisis, and the desire to better serve the international community have facilitated a series of IMF reforms since 2009. Some of these reforms represent a total (180 degrees) change from its previous directions, resulting in an "IMF 2.0" dubbed by *Time*. For example, the IMF now starts to promote more fiscal spending in order to stimulate the

economy and to ease money supply and reduce interest rates, given the primary concern for the global economy now is deflation and recession, but not inflation. Obviously, the IMF's change of heart is affected by the tremendous stimulus packages unleashed by developed economies since 2008, which result in skyrocketing budget deficits. If the developed economies can (hopefully) use greater fiscal spending and budget deficits to pull themselves out a crisis, the IMF simply cannot lecture developing economies that receive its loans to balance their budgets in the middle of a crisis. Further, given the stigma of receiving IMF loans and listening and then implementing IMF lectures, many countries avoid the IMF until they run out of options. In response, in April 2009, the IMF unleashed a new Flexible Credit Line (FCL), which would be particularly useful for crisis *prevention* by providing the flexibility to draw on it at any time, with no strings attached—a radical contrast to its earlier requirement. Mexico, Colombia, and Poland have used the FCL so far.

Further, the IMF 2.0 has become three times bigger—leaders in the G20 Summit in London in 2009 agreed to enhance the IMF's funding from US\$250 billion to US\$750 billion. Of the US\$500 billion new funding (technically Special Drawing Rights [SDRs]), the US, the EU, and Japan each was expected to contribute US\$100 billion. China signed up for US\$40 billion. Request for injection of substantial funding from emerging economies resulted in the calls for better representation of these countries. However, enhancing voting rights for emerging economies would lead to reduced shares for developed economies. As a result, progress is slow. Even with the new changes, Brazil, with 1.72% of the votes (up from the previous 1.38%), still carries less weight than Belgium (1.86%, down from the previous 2.09%). Despite having the world's second-largest economy, China has failed to be admitted as one of the top five IMF shareholders—with 3.81% of the votes, it has become the sixth largest, behind the United States (16.75%), Japan (6.23%), Germany (5.81%), France (4.29%), and the UK (4.29%). Overall, Western countries, which have been over-represented at the IMF, have refused to make room at the table for emerging economies.

In July 2014, at the sixth BRICS summit in Fortaleza, Brazil, BRICS countries—consisting of Brazil, Russia, India, China, and South Africa—launched a New Development Bank (NDB) as an alternative to the IMF. To be headquartered in Shanghai, the NDB, previously known as the BRICS Development Bank, represents a significant block of countries that have 2.8 billion people (40% of the world's population), cover a quarter of the world's land area, and account for more than 25% of global GDP. Unlike the IMF, which assigns votes to member countries differently, the NDB assigns each of the five participating countries one vote (each country contributing US\$10 billion initial paid-in capital for a total of US\$50 billion). While the NDB will focus on infrastructure and sustainable development projects, BRICS have also set up a US\$100 billion Contingency Reserve Arrangement (CRA), with China contributing US\$41 billion, Brazil, Russia, and India each US\$18 billion, and South Africa US\$5 billion. Designed to provide protection against global

liquidity pressures, the CRA is a precautionary instrument in response to actual or potential short-term balance of payments problems.

Why did Brazil, Russia, India, China, and South Africa set up the New Development Bank in 2014?

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The NDB and the CRA have been set up due to BRICS' frustration with the IMF, which together they only wield about 11% of the votes (after recent IMF reforms). Further, they are set up in response to the IMF's enforcement of conditions on countries seeking emergency loans. The founding statement signed by BRICS leaders has stated: "International governance structures designed within a different power configuration show increasingly evident signs of losing legitimacy and effectiveness." In a couple of decades and with expanding membership, the NDB and the CRA may indeed become a rival of the IMF. However, in the short run, how to coordinate the divergent interests—and paper over disagreements—among BRICS remains to be seen.

Sources: Based on (1) R. Desai & J. Vreeland, 2014, *What the new bank of BRICS is all about*, *Washington Post*, July 17, www.washingtonpost.com; (2) *Economist*, 2009, *New fund, old fundamentals*, May 2: 78; (3) *Economist*, 2010, *Beyond Bretton Woods 2*, November 6: 85–87; (4) *Economist*, 2014, *The 70-year itch*, July 5: 12; (5) R. Fuller, 2014, *Refusing to share: How the West created BRICS New Development Bank*, www.rt.com; (6) A. Ghosh, M. Chamon, C. Crowe, J. Kim, & J. Ostry, 2009, *Coping with the crisis: Policy options for emerging market countries*, IMF staff position paper, Washington: IMF; (7) C. Lagarde, 2013, *I try to spark new ideas*, *Harvard Business Review*, November: 111–114; (8) R. Rajan, 2008, *The future of the IMF and the World Bank*, *American Economic Review*, 98: 110–115; (9) J. Stiglitz, 2002, *Globalization and Its Discontents*, New York: Norton; (10) *Time*, 2009, *International Monetary Fund 2.0*, April 20.

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